

## STRATEGIC ADVICE: Day 1

Keywords:

Distributive / Fixed Pie / One-shot / One-issue Negotiation

### **MAKE THE FIRST OFFER OR IMMEDIATELY RE-ANCHOR IF THE OTHER PARTY OPENS WITH AN OFFER.**

In general, the party who makes an aggressive first offer does better in this type of distributive negotiation.

#### **PROS:**

- Directs the negotiation toward your target and not your RP.
- Provides you with room to make concessions and appear generous.
- You can't get what you don't ask for!

#### **Limitations:**

- **Lack of information:**  
Offer too much if you are unprepared (Winner's Curse).
- **Information asymmetry:**  
If you have reason to believe the counterparty lacks information, you may want to see whether their first offer is favorable to you. If it is not, you know to re-anchor immediately.
- **Adversarial Negotiation:**  
Offend the other party and engender hostility with an extreme offer that is not supported by logic. However, in this type of negotiation, this fear might be more apparent than real.

#### **DO:**

- **Prepare, Prepare, Prepare:**  
Gather as much information as you can about yourself and the other party.
  - Know your BATNA and try to improve it.
  - Research the other party's BATNA and estimate their RP.
  - Develop arguments to make your Anchor "stick".
- **Determine your first offer and RP prior to sitting down.**
- **Make your first offer extreme – i.e., better than your target.**
- **Make larger concession early and smaller ones later.**  
This allows you to signal that you are getting close to your RP.
- **Prepare rationales for concessions and end-moves.**

#### **DON'T:**

- **Don't unnecessarily reveal information.**
- **Don't negotiate with yourself.**  
Make bilateral (not unilateral) concessions; i.e. don't make two concessions in a row, without an intervening concession by the other party.